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Learning from Experience

While I had been working at the bank, I had noticed with considerable interest a news item about the two neighboring San Jose companies that had intrigued me so much during my student days at the Stanford Business School. In 1928 the John Bean Manufacturing Co. and the Anderson-Barngrover Manufacturing Co. had merged with a leading vegetable canning manufacturer, Sprague Sells Corporation of Hoopeston, Illinois, to form a brand new entity called the Food Machinery Corporation.

As in other periods of rampant speculation the nation was in the throes of such a stock buying mania that the supply of Food Machinery corporation stock offered for sale rose in price in an attempt to meet the demand. In that same year of 1928, at least twenty other new issues, and perhaps twice that many, were sold by members of the San Francisco Stock Exchange to eager buyers in the Bay area. The lack of soundness of some of these issues was little short of appalling. An officer of one stock exchange firm, that sold shares in a company that was to sell bottled water from across the Pacific, told me that these shares were sold without a complete set of financial statements in the hands of the underwriters, who had little more than a photograph of the spring from which the water was supposed to come and a minor amount of personal contact with the selling shareholders! In the public mind, the stock of the Food Machinery corporation was just another of the exciting new offerings of that year, neither significantly better nor worse than the rest. It was offered at a price of \$21½.

In those days, pools for the manipulation of shares were entirely legal. A local group with little expertise in running a pool but headed by a man with great enthusiasm for Food Machinery Corporation decided to “run an operation” in the company's shares. The methods of all these pools were fundamentally similar. The members would sell stock back and forth among themselves at gradually rising prices. All this activity on the stock tape would attract the attention of others, who would then start to buy and take the pool's shares off its hands at still higher prices. Some highly skilled manipulators, some of whom had made many millions of dollars and one of